Downloaded From www.castudynotes.com

Test Series: October, 2019

MOCK TEST PAPER 1

INTERMEDIATE (IPC-New): GROUP – II

PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: Enterprise Information Systems

Time Allowed – 1½ Hours **Maximum Marks: 50 Marks**

Division A - Multiple Choice Questions

Total Marks: 15 Marks

Question Nos. 1 to 5 carries 2 marks each.

1. _____a kind of business risk in an enterprise that keeps fines and penalties to organization from a regulatory agency due to non-compliance with laws and regulations.
   a. Financial Risk
   b. Strategic risk
   c. Regulatory Risk
   d. Hazard risk
2. Mr. A is an auditor of a company XYZ Ltd. While evaluating controls over ERP systems, Mr. A used certain operational controls under _____ which are administered through the computer center/computer operations group and the built-in operating system controls. Which of the following controls he is working on?
   a. Environmental Controls
   b. Application controls
   c. Management Controls
   d. Audit Controls
3. Mr. X is the Sales manager of the company. The chief sales head wants to evaluate an annual sale made by sales revenue of company's branches in different regions. Mr. X is preparing the sheets using computer software. Which of the following software he may be working on?
   a. Application software
   b. Operating Systems Software
   c. System Software
   d. Asset Management Software
4. Mr. A has a bakery which is running successfully currently. He wants his business to be expanded further through online mode for which he hired a technical person Mr. X who could guide him in adopting to online business. Mr. X is supposed to give a presentation to Mr. A on technological infrastructure requirement for the business. Identify the point which should not form part of his presentation.
   a. Payment gateway
   b. Web portal
   c. Data Interchange
   d. Type of vendors

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India

Downloaded From www.castudynotes.com

5. The full-scale Banking solution is a scalable, integrated e-banking system that meets the deployment requirements in traditional and non-traditional banking environments with some key aspects in its architecture. Which of the following key aspect is not used in CBS architecture?

   a. Customer centric

   b. Regulatory Compliance

   c. Resource optimization

   d. Selection of employees

Question Nos. 6 to 10 carries 1 mark each.

6. The success of any Business Process Automation (BPA) shall only be achieved when BPA ensures certain characteristics. Which of the following is not included in those characteristics?

   a. Diligence

   b. Integrity

   c. Availability

   d. Timeliness

7. Mr. A is working with XYZ company which is under the process of adopting Enterprise Resource Management (ERM). He made a list of Policies and procedures that need to be established and executed to ensure that risk responses that management selected, are effectively carried out. Which of the component of ERM is this activity carried on?

   a. Risk Assessment

   b. Control Activities

   c. Information and Communication

   d. Monitoring

8. Mr. C is a software developer associated with a company for which he developed application software. The developed software is needed to be installed on hard disc of every computer used by users, one by one. Which of the following application is developed by him?

   a. Web application

   b. Operating system Application

   c. Installed Application

   d. Cloud Application

9. A Database Model is a type of data model that determines the logical structure of a database and fundamentally determines in which manner data can be stored, organized and manipulated. Which of the following database model stores and organizes data in a table structure?

   a. Network data model

   b. Hierarchical data model

   c. Object oriented database model

   d. Relational database model

10. XYZ is the service provider company which is under the process of setting up of network architecture for a shoe making company. XYZ decides to work on three tier architecture to design the network architecture. What would be the sequence of three layers that company may use in this architecture?

    a. Client tier, Middle tier, Database tier

    b. Middle tier, Database tier, Client tier

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India

Downloaded From www.castudynotes.com

c. Database tier, Logic tier, Client tier

d. Client tier, Data tier, Database tier

Division B-Descriptive Questions

Total Marks: 35 Marks

Question No. 1 is compulsory.

Attempt any three questions out of remaining four questions.

1. (a) Describe any four activities performed by Operating Systems Software. **(3 Marks)**

   (b) Discuss any two risks of Business Process Automation. **(2 Marks)**

2. (a) Mr. A is appointed as a manager in XYZ company which is planning to adopt the automation of its major business processes. He has been asked to prepare a list of the sequence of steps that the company should adhere to implement Business Process Automation. Draft Mr. A's reply. **(6 Marks)**

   (b) ABC is a Nationalized bank expanding its business in various banking sectors. The bank's Top Management is seeking a report on various risks associated with Data Centre and Network Operations of Core Banking System from Mr. Z, a senior manager of the bank. Prepare a list of the same. **(4 Marks)**

3. (a) XYZ is an Indian based garment manufacturing company which has implemented ERP (Enterprise Resource Planning). The Material Management (MM) module of ERP is used to manage its daily operations like – import of raw material, its movement related logistics, Supply chain management, warehouse management, production etc. Discuss the overall purchase process for XYZ company covered under MM. **(6 Marks)**

   (b) Explain the traditional methods of Digital Payments used in e-commerce transactions. **(4 Marks)**

4. (a) ABC Ltd. is a company which wants to convert their traditional business to online business or e-business. Help its manager to make the list of benefits for any one of the following:

   (i) Individuals

   Or

   (ii) Business **(6 Marks)**

   (b) Discuss any two risks and their corresponding controls related to the process of Mortgage involved in Core Banking System. **(4 Marks)**

5. (a) Mr. X is an auditor of the company and plays a vital role in evaluating the performance of various controls under managerial controls. The top management is the one who takes responsibility for Information Systems function. Explain the functions that a senior manager must perform in organizing and controlling functions. **(6 Marks)**

   (b) Being a manager of a company X, you are required to prepare a MIS report for Annual General Meeting(AGM) of the company. What characteristics will make this information useful for the management? **(4 Marks)**

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India

Downloaded From www.castudynotes.com

Test Series: October, 2019

SECTION – B: STRATEGIC MANAGEMENT

Question 1 and 2 are compulsory.

Attempt any three questions out of remaining four questions.

Time Allowed – 1½ Hours **Maximum Marks – 50**

1. (i) Which of the following are responsible for formulating and developing realistic and attainable strategies?
   (a) Corporate level and business level managers
   (b) Corporate level and functional level managers
   (c) Functional level managers and business level managers
   (d) Corporate level managers, business level managers and functional level managers

   (ii) Competitive landscape requires the application of:
   (a) Competitive advantage
   (b) Competitive strategy
   (c) Competitive acumen
   (d) Competitive intelligence

   (iii) Which one is not the element of strategic intent?
   (a) Business model
   (b) Vision
   (c) Business definition
   (d) Business standard

   (iv) If suppliers are unreliable or too costly, which of these strategies may be appropriate?
   (a) Horizontal integration
   (b) Backward integration
   (c) Market penetration
   (d) Forward integration

   (v) In Michael Porter's generic strategy _____ emphasizes producing standardized products at a very low per unit-cost for consumers who are price sensitive.
   (a) Cheap leadership
   (b) Inferior product leadership
   (c) Cost leadership
   (d) Cost benefit

   (vi) A campaign advocating the message of 'save water' is:
   (a) Services Marketing
   (b) Holistic marketing
   (c) Social Marketing
   (d) Direct Marketing

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India

Downloaded From www.castudynotes.com

(vii) _____leadership style may be appropriate in turbulent environment.

(a) Transactional

(b) Transformational

(c) Autocratic

(d) None of these

(viii) The purpose of strategy evaluation is to:

(a) increase the budget annually

(b) alert management to problems or potential problems

(c) make budget changes

(d) evaluate employees' performance

(ix) Strategic management can be effectively used by NGOs to:

(a) Use resource effectively

(b) Raise funds

(c) Achieve goals

(d) All the above

(x) Anything that a firm does especially well compared to rival firms is referred to as _____.

(a) Competitive advantage

(b) Comparative advantage

(c) Opportunity cost

(d) Sustainable advantage

(xi) What is the first step in the comprehensive strategic-management model?

(a) Developing vision and mission statements

(b) Performing external audits

(c) Measuring and evaluating performance

(d) Establishing long-term objectives

(xii) Which strategy is implemented after the failure of turnaround strategy?

(a) Expansion strategy

(b) Diversification strategy

(c) Divestment strategy

(d) Growth strategy

(xiii) Best-cost provider strategy involves providing customers more value for the money by emphasizing:

(a) Low cost and low quality difference

(b) Low cost and better quality difference

(c) High cost and low quality difference

(d) High cost and better quality difference

(xiv) For a new product, an organization may choose:

(a) Skimming pricing strategy

(b) Penetration pricing strategy

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India

Downloaded From www.castudynotes.com

(c) Both (a) and (b)

(d) None of these

(xv) A person who searched for business opportunity and starts a new enterprise to make use of that opportunity is called

(a) Employee

(b) Entrepreneur

(c) Intrapreneur

(d) Investor ***(15 x 1 = 15 Marks)***

2. 'Coffee Beans' is a coffeehouse chain that operates across the globe in different countries. 'Coffee Beans' has adopted a strategy to build business by establishing product uniqueness or qualities and gain competitive advantage based on features of its offerings in coffee business. Which type of strategy 'Coffee Beans' has adopted? ***(5 Marks)***

3. (a) "Strategy is partly proactive and partly reactive." Discuss. ***(5 Marks)***

(b) Zumba Robots, an electronic robot manufacturing company is a leader in its business segment. Over a period of time, it started losing its grip on the market as its overall position started to weaken. Discuss the type of audit that you would like to suggest to analyse the situation of the company? ***(5 Marks)***

4. (a) What is strategic decision making? What tasks are performed by a strategic Manager? ***(5 Marks)***

(b) Telecom industry is growing at a rapid speed in India. There is a cut throat competition among the service providers in the industry. Identify the capabilities that will best serve as a source of competitive advantage for a firm over its rivals? ***(5 Marks)***

5. (a) State the factors of human resource that influence on employee's competence. ***(5 Marks)***

(b) Differentiate between divestment and liquidation strategy. ***(5 Marks)***

6. (a) How can a corporate culture be both strength and weakness of an organisation? ***(5 Marks)***

(b) Write a short note on need for turnaround strategy. ***(5 Marks)***

www.castudynotes.com

Join Us on Telegram http://t.me/canotes_ipcc

© The Institute of Chartered Accountants of India